

Dear all,

Please see below draft response/bullet points for proposed answers to comments (Q1 (Business Sustainability) and Q2 (Reliance on China Mobile)) proposed to be discussed during the conference call.

Question 1 — Business Sustainability – The Group recorded net losses and net operating cash outflows throughout the Track Record Period. Based on the profit and working capital forecast memorandum (the “Memorandum”), the Group will still be loss-making for the year ending 31 December 2025 and 31 December 2026 with an expected net loss of RMB57 million and RMB17 million, respectively. However, the Prospectus and the Memorandum lack meaningful discussion and analysis on the underlying reasons for the Group’s loss-making and net operating cash outflow positions, and the current disclosure on the Group’s path to profitability is not forthcoming for readers to assess the achievability of profitability and the expected timeframe. In light of the above, please address the following with substantially enhanced disclosure in the “Summary”, “Business” and other relevant sections of the Prospectus (e.g. pages 18, 212 to 216):

The Prospectus will be revised in response to the comments.

Question 1 (i) – Reasons for historical net losses, adjusted net losses, net operating cash outflows, net current liabilities and net liabilities – disclose the underlying reason(s) for the Group’s net losses, adjusted net losses, net operating cash outflows, net current liabilities and net liabilities recorded during the Track Record Period; and highlight, under the “Recent Developments” subsection (page 18), that the Group is expected to record a net loss in 2025 and the reason(s) therefor.

The Company respectfully submits the underlying reasons for its financial performance during the Track Record Period as follows:

Net Losses and Adjusted Net Losses

- *Significant Upfront Costs and Investments*
- *Substantial Cost of Sales*

The Group’s cost of sales increased throughout the Track Record Period and accounted for over 50% of its total revenue for each year comprising the Track Record Period.

(i) Major Cost Drivers

The largest component of the Company’s cost of sales was project fulfillment costs. To support its customers’ expanding demands, the Company incurred substantial and progressively rising costs for the implementation of GJ AI workforce solutions during the Track Record Period. This increase corresponded directly with the Company’s revenue growth, reflecting the necessary investment to scale service delivery.

Cost of cloud services, representing the procurement costs of cloud computing power from third-party cloud service providers for the provision of GJ AI workforce solutions, also drove the cost of sales. The Company utilizes third-party cloud infrastructure to rapidly deploy, test, and scale its AI models and solutions before achieving sufficient scale to justify or operationally manage dedicated, cost-optimized setups, and therefore incurred significant cloud service expenditures during the Track Record Period.

The Company also incurred continuously increasing cost of hardware and

software for the procurement of equipment and software during the Track Record Period, aligning with the expansion of GJ AI workforce solutions, especially GJ AI Real-time Video Agent business.

(ii) Reasonableness of Increase in Cost of Sales

The increase in costs of sales is unavoidable during the business expansion as the Group highly values innovation and solution quality. Driven by the completion of key technological upgrades in GJ AI workforce solutions in 2024, where the Company achieved architectural optimization of DUIX ONE to enable the distributed deployment of certain computing tasks to users' end devices for execution, its cost of cloud services decreased in 2024 and remained relatively stable in 2025. Although there was a temporary decrease in gross profit margin in 2024 caused by the Company's proactive downward price adjustment following the product iteration initiatives and discounts for productized solutions to expand business in the lower-tier market, the Group anticipates witnessing margin improvements along with the completion of key technological upgrades in GJ AI workforce solutions, as well as the increasing economies of scale and bargaining power. The Group aims to align cost structures more closely with revenue growth while maintaining the reliability and technological integrity of its solutions.

- *Constant R&D Investments*

Research and development expenses highlight the Group's substantial and sustained commitment to advancing its technical capabilities and pioneering innovative GJ AI workforce solutions. The Group's research and development expenses increased throughout the Track Record Period, accounting for over 20% of its total revenue each year.

(i) Major Expense Drivers

High cloud service fees drive the overall research and development expenses. To facilitate R&D activities of GJ AI workforce solutions and frontier AI algorithms, the Company procured cloud computing services from third-party cloud computing service providers.

Employee benefit expenses also form a major component of the high R&D spending. This primarily stems from the Group's demand for high-caliber talents, who possess expertise or previous working experience in computer science, machine learning, natural language processing, computer vision and mathematical modeling, and consequently command relatively high salaries in the competitive talent market.

(ii) Reasonableness of Research and Development Investments

Continuous R&D investment is critical for the Group to maintain its market leadership by driving technical iterations, addressing emerging technical challenges, and enhancing the competitiveness of its GJ AI workforce solutions. In line with the Company's increased R&D activities relating to GJ AI workforce solutions, especially the advancement from AI Copilot to Autopilot functionalities, the Company experienced a continuous increase in research and development expenses during the Track Record Period. The Company utilizes multiple large models and AI technologies to support GJ Autopilot AIGC Agents, such as LLMs, text-to-image large model, image-to-video large model and digital

human lip-sync driving technology. In particular, to advance the evolution from AI Copilot to Autopilot, expand into new application scenarios and explore global business opportunities, the Company deepens collaboration with leading cloud service providers to secure computing resources. Therefore, the Company expects to witness increasing cloud service fees in the foreseeable future. Meanwhile, with the advancement of Yan Di Large Language Model and DUIX ONE, the Company expects to witness further improvement in R&D efficiency and cost-effectiveness.

- *Substantial Marketing Investments*

The Group also had constant selling and marketing investments throughout the Track Record Period.

- (i) Major Expense Drivers

Employee benefit expenses form a major part of the high selling and marketing expenses, primarily driven by team deployment and strategic recruitment of talent with specialized expertise or experience in AI, automation and/or marketing. In addition, the Group also recorded substantial marketing service expenses as well as advertising and promotion expenses during the Track Record Period, as it spent efforts to enhance brand recognition and promote solutions both offline and online and engaged third-party service providers.

- (ii) Reasonableness of Selling and Marketing Investments

The Group has provided sales professionals with competitive remuneration packages, acknowledging that their experience delivers critical assets, including in-depth market insight, established customer networks, and strong negotiation skills, all of which are essential for driving sales performance and accelerating market penetration. Moreover, the Group makes targeted investments in marketing and customer services to provide tailored services, maintain long-term relationships, and develop benchmark projects with key account customers. Maintaining relationships with key account customers typically requires regular customer visits and exclusive after-sales support, thus leading to higher related expenses.

Along with the Group's global business exploration, the Group expects to continuously invest in selling and marketing activities, which are closely aligned with its market expansion and customer development strategies. However, driven by enhanced brand awareness and initial user acquisition achieved through previous marketing investments, as well as a strategic shift towards meticulous operations, moving away from previous reliance on heavy promotional expenditure, the Company expects to further enhance marketing cost-effectiveness and efficiency.

- *Administrative and Other Operating Investments*

- (i) Major Expense Drivers

Employee benefit expenses continue to be the largest component of the administrative and other expenses during the Track Record Period, representing salaries, bonuses and share-based payment expenses relating to the share options granted to administrative personnel, which fundamentally support the Group's

daily operations. In addition, the Group incurred professional service fees as it engaged external professional service providers for legal, auditing, consulting and human resources services during daily operation, as well as listing expenses. These are strategic expenses that are typically non-recurring and used to support the Group's long-term capital market layout.

(ii) Reasonableness of Administrative Expenditures

Sustained investment in administrative and operational functions is critical for scaling the business, ensuring regulatory and data compliance, and maintaining the continuous daily office support, all of which underpin the Group's business stability and sustainable growth.

● ***New Initiatives Still Unfolding***

During the Track Record Period, the Company mainly generated revenue from provision of Copilot GJ AI workforce solutions, including GJ AI Real-time Voice Agent, GJ AI Video Generation Agent, GJ AI Live Streaming Agent and GJ AI Real-time Video Agent. In August 2025, the Company tapped into the Autopilot field and started to generate revenue from GJ Autopilot AIGC Agent. GJ Autopilot AIGC Agent embraces self-organizing, self-adaptive, and self-evolving capabilities while achieving a high profit margin. In addition, while advancing GJ Autopilot AIGC, the Company leverages the established value of renowned IPs to facilitate customer acquisition and elevate value propositions of GJ AI workforce solutions. In less than five months, GJ Autopilot AIGC Agents had a revenue contribution of over RMB50 million, representing over 6% of the Company's total revenue in 2025. Having observed the market potential of this newly launched solution, the Company plans to further improve the value-added potential of GJ Autopilot AIGC Agents. As this initiative matures, the Company expects to see a substantial boost in profitability, alongside improved operational efficiencies and reduced upfront costs. This strategic approach positions the Company favorably for sustained growth and enhanced financial performance in the coming years.

Based on the foregoing, the Group recorded net losses throughout the Track Record Period. The Company expects to record net loss for the year ending December 31, 2026, primarily due to: (i) additional research and development expenses as the Company will continue to advance technology upgrades and model training; (ii) increasing selling and marketing expenses as the Company promotes its GJ AI workforce solutions, particularly the GJ Autopilot AIGC Agent; (iii) the Company's constant investment in the overseas markets exploration; and (iv) non-recurring listing expenses in relation to this Listing.

By adding back listing expenses, equity-settled share-based payments expenses and accretion of redemption liabilities, the Company recorded adjusted net loss (non-IFRS measure) of RMB29.4 million and RMB35.2 million for the years ended December 31, 2023 and 2024, respectively, while turned to adjusted net profit (non-IFRS measure) of over RMB13 million for the year ended December 31, 2025 based on the available management account, attributable to its enhanced commercialization capability and sustainable growth potential. By adding back listing expenses, equity-settled share-based payments expenses and accretion of redemption liabilities, the Company expects to continue to record adjusted net profit (non-IFRS measure) for the year ending December 31, 2026.

Net Operating Cash Outflows

The Group had a net operating cash outflow throughout the Track Record Period primarily due to its proactive approach to improving its technological strengths, fulfilment capacity and customer acquisition, which resulted in large amounts of project fulfilment costs, cloud service fees and employee benefit expenses. As the Company endeavors to enhance operational efficiency and solution performance, and refines marketing strategy to benefit from word-of-mouth referrals from existing customers, its staff costs (including (i) staff costs recorded in cost of sales; and (ii) employee benefit expenses recorded in research and development expenses, selling and marketing expenses as well as administrative and other operating expenses) as a percentage of total revenue decreased throughout the Track Record Period. Furthermore, the Company is committed to implementing its business strategies, which are expected to improve its operational performance and drive operating cash inflow. Meanwhile, with growing brand awareness among enterprises across telecommunication, finance and public service industries, the Group benefits from word-of-mouth referrals by existing customers. In addition, the Company plans to optimize its customer structure to improve working capital and reduce credit risk, by targeting customers with strong credit profiles and shorter payment terms. Consequently, along with notable revenue growth, the Group's net operating cash outflow position is expected to be improved in the long term.

Net Current Liabilities and Net Liabilities

As of December 31, 2023, the Company recorded net current liabilities of RMB583.1 million and net deficit of RMB560.9 million, primarily due to its redemption liabilities from the Pre-IPO Investments classified as current liabilities. In November 2024, the Company entered into a supplemental agreement with the Pre-IPO Investors to unconditionally terminate its redemption obligations, pursuant to which, the redemption liabilities were reclassified as equity. Had the redemption liabilities been reclassified from liabilities to equity with effect from the beginning of the Track Record Period, the Group would have recorded net assets throughout the Track Record Period.

Question 1 (ii) – Path to profitability – (a) disclose, with robust basis, the Directors' and Sponsors' views in respect of the sustainability of the Group's business; (b) substantially enhance the discussion on each of the Group's strategies and specific measures to turn around its positions of net losses, adjusted net losses, and net operating cash outflows, and how each of the strategies and measures is achievable, including the implementation status and how the Group would be able to capture the demand going forward and compete with existing and potential players; (c) substantiate the effectiveness of these strategies and measures to improve the Group's financial performance with support of quantitative information and taking into account the historical track record and industry trend;

The Company respectfully submits that Directors are of the view that the Group can turn around the loss-making position and maintain sustainable business growth, considering that (i) the prospects of the global digital human agent market and industries where enterprise customers operate; (ii) the Company's demonstrated track record in controlling costs, driving gross profit margin and efficiency improvement; and (iii) the Company's future business strategies for sustainable growth and the below measures for revenue growth and operational efficiency enhancement:

Measures for Revenue Growth

According to CIC, the market size of the global digital human agent market in terms of revenue is expected to grow at a CAGR of 50.4% from 2024 to 2030, reaching RMB47.0 billion in 2030. As the second largest digital human agent provider in the global market in terms of revenue generated from provision of digital human agent solutions in 2024, the Company boosts its revenue growth along with the market expansion.

- ***Enriching Solution Offerings and Elevating Value Propositions***

The Company is dedicated to constantly improving GJ AI workforce solutions through technological advancements and system upgrades, addressing the diversified demands from enterprises of different scales. Underpinned by keen industry observations and cutting-edge AI technologies, the Company is strategically advancing towards AI Autopilot to capitalize on emerging opportunities in industry. Its key technological breakthroughs are manifested across three primary dimensions:

- *Embedded Intelligent Decision-making.* The Company's GJ AI workforce solutions have evolved from providing basic video production capabilities to building an integrated AI-driven content creation system. This system autonomously performs market analysis, topic selection, script generation, and stylistic decisions, thereby liberating human roles from traditional strategic planning, scriptwriting, and directorial guidance.
- *End-to-end Automated Production Lines.* Leveraging its proprietary video workflow engine, the Company seamlessly integrates script comprehension, digital human empowerment, scene generation, speech synthesis, video editing, and special effects into GJ AI workforce solutions. This constructs a fully automated production platform that generates final videos directly from text input, drastically reducing manual intervention.
- *Data-driven Self-evolving Development.* Leveraging real-time performance data, the system forms a closed loop that continuously enhances content relevance and the potential for high-impact outputs. Through algorithm innovation and enhanced efficiency in computing infrastructure, the Company has been elevating the efficiency and intelligence of solutions.

By introducing its digital human twins and collaborating with renowned IPs, the Company significantly enhances the value proposition and market acceptance of its solutions, driving its gross profit margin and creating a new paradigm for intelligent content generation. Further to the successfully launched Dasima (大司馬) IP series, the Company has been building an IP matrix and collaborating with short video platforms and anime IPs, leveraging AI for automated production to rapidly amplify IP value and strengthen revenue streams. Furthermore, the Company will employ AI for automated creative generation and advertising effectiveness optimization, enabling intelligent marketing decision-making. From launch through December 31, 2025, 28 customers procured GJ Autopilot AIGC Agent in a total of 60 orders, with a total contract value amounting to over RMB50 million. From 2024 to 2025, the Company's average value per customer climbed by approximately 90%, while its average project value increased by approximately 55%, reflecting the Company's significant monetization improvements. The Company expects enriched solutions to create more choices for customers, improve customer satisfaction while propelling its long-term growth.

- ***Attracting New Customers***

Along with the growth in industry, the Company strives to expand market reach and sales network.

- Apart from further penetration into the domestic markets, it also seeks to explore the global market and enhance presence overseas, introducing GJ AI workforce solutions

to customers in diversified scenarios and industries across different countries and regions.

- Building on mature project deployment experience and customer relationships with key account customers in various industries, the Company has been strategically standardizing and productizing solution offerings to address the underserved needs of SMBs in a cost-efficient manner. Compiling project case studies from vertical industries enables the Company to form highly reusable industry-specific solutions with predictable solution deployment outcomes for efficient customer acquisition.
- The Company plans to concentrate more resources on the sales and marketing of GJ Autopilot AIGC Agent, continuously building benchmark IPs, such as Dasima IP series, and utilizing the AI-powered self-media matrix as a traffic gateway to exert industry influence and attract new customers.

In 2025, the number of new customers of the Company reached 255, while the number of new projects reached 305.

- ***Retaining Existing Customers***

- Customer satisfaction is core to the Company's reputation and market competitiveness. The Company's net dollar retention rate for each year during the Track Record Period reached over 80%, which indicates high repurchase underpinned by customer satisfaction and trust. The Company is committed to deepening market penetration and expanding market share in the domestic market, utilizing well-established presence and trust among enterprises across industries. The Company strives to cultivate mutually beneficial and stable relationships with its key account customers. As of December 31, 2025, multiple customers have entered into long-term framework agreements with the Company. The Company's reliable solutions for existing customers further enhance its brand image while yielding market insights for other enterprises in particular industries vertically. The Company will continue to deliver customized and customer-centric services to key account customers, while strengthening service experience for other customers, and increasing customer loyalty. Through establishing and deepening collaborations with service providers, cloud platforms and large-scale integrators along the industry chain, the Company expects to further develop its ecosystem partnerships and benefit from the well-established recognition and word-of-mouth referrals among existing partners within the ecosystem.

Measures for Managing Cost and Improving Operational Efficiency

- ***Elevating R&D Efficiency***

Through ongoing model optimization and enhanced engine capabilities, the Company witnessed improvement in R&D efficiency and high utilization of development resources. Architectural optimization of DUX ONE enables the distributed deployment of certain computing tasks to users' end devices for execution, elevating the utilization efficiency of cloud resources. While the Company's R&D team scale and the number of ongoing R&D projects remained relatively stable, its research and development expenses as a percentage of revenue decreased from 22.9% in 2024 to approximately 20% in 2025, demonstrating the enhanced cost-effectiveness of R&D activities.

- ***Improving Operational and Administrative Efficiency***

The Company has been persistently improving the efficiency of operational and administrative activities. During the Track Record Period, the Company pursued higher general and administrative cost-effectiveness by optimizing organizational structure and slimming down administrative or managerial staff who do not directly contribute to business growth, while maintaining adequate employees to support business growth. As a result, the Company's administrative and other

operating expenses as a percentage of its total revenue remained at lower than 10% throughout the Track Record Period. The Company will continue refining internal management and reducing waste, eliminating redundancies and improving focus, and reviewing and analyzing business performance based on the visualized indicators on a regular basis.

- ***Enhancing Selling and Marketing Efficiency***

To improve selling and marketing efficiency, the Company has been increasing the market access of offerings with streamlined in-house sales force. The Company utilizes strategic collaborations with cloud service providers and integrators to improve the resilience of supply chain and efficiently improve offerings' exposure to various industry verticals. Moreover, as the Company cherishes existing customer relationships and maximizes the potential value of flagship projects, it seeks to benefit from the word-of-mouth introduction and influence of customers on cost-efficiency, quality as well as the actual service experience of the Company's solutions. The cost-efficient customer referrals improve selling and marketing efficiency while controlling expenses. Selling and marketing expenses as a percentage of total revenue decreased from 12.6% in 2024 to less than 8% in 2025. Average customer acquisition cost decreased from RMB184 thousand in 2024 to RMB111 thousand in 2025.

As the largest digital human agent provider in China in terms of revenue generated from provision of digital human agent solutions in 2024 with a market share of over 32%, the Company has a proven track record that demonstrates the effectiveness of its measures for sustainable business growth and future profitability:

- Substantial and continuous growth in revenue from RMB530.8 million in 2023 to over RMB788 million in 2025.
- Continuous improvement in operational efficiency, evidenced by the total amount of selling and marketing expenses, administrative and other operating expenses, and research and development expenses as a percentage of total revenue decreased throughout the Track Record Period.
- Substantially narrowed net loss from RMB111.7 million in 2024 to approximately RMB26 million in 2025. Adjusted net loss (non-IFRS measure) of RMB35.2 million in 2024 turned to adjusted net profit (non-IFRS measure) of over RMB13 million in 2025.
- Financial position evolved from net current liabilities of RMB583.1 million as of December 31, 2023 to net current assets of RMB295.9 million as of December 31, 2024. The Company's net current assets further increased to approximately RMB478 million as of December 31, 2025.

Question 1 (ii) – Path to profitability – (d) submit a net profit and cash flow breakeven, cash conversion cycle and cash burn analysis with detailed assumptions and bases and a commentary on how long the Group can support its business operations and expansion plans with its existing financial resources (1) with the IPO proceeds and (2) without the IPO proceeds;

Net Profit and Cash Flow Break Even

The Company remained in loss-making positions at the IFRS net profit level in FY2025 and FY2026 primarily due to front-loaded R&D investment, non-recurring listing expenses; and selling and marketing expenses. The Company recorded adjusted NET profits of approximately HK\$13 million after adding back listing expenses and equity-settled share-based payment expenses in FY2025. This reflects the underlying operational breakeven of the Company; therefore also expects to (1) achieve operating breakeven and adjusted net profit in FY2026; and (2) maintain a strong financial position in FY2026, supported by IPO proceeds and improving operating cash flows.

The Company expects to achieve operating cash flow breakeven in FY2027, the point at which net operating cash inflows equal total operating cash outflows, which will be in line with the improvement in operating results. Prior to breakeven, operating cash outflow are mainly attributable to R&D expenditure. The breakeven is expected to be supported by sustained revenue growth, stable margins, and reduction of costs in FY2026.

Basis and assumptions:

The revenue forecast for FY2026 is prepared with reference to (i) the revenue generated during the three years ended December 31, 2025; (ii) existing customer contracts, renewal patterns of the exiting business and contracts under negotiations; (iii) expected contribution from GJ Autopilot AIGC Agent, which commenced commercialization during the fourth quarter of 2025; and (iv) industry outlooks. The forecasted revenue growth from FY2025 to FY2026 is supported by the existing signed contracts and customer pipelines covering more than 50% of projected revenue in FY2026; and the rest is derived from expected orders which are in advanced or confirmed negotiation stages.

Cost of sales mainly comprises project fulfilment costs, cloud service fees, hardware and software costs and staff costs. It is expected that the gross profit margin will improve in FY2026 mainly due to the change in revenue mix. In particular, the Company anticipates an increasing revenue contribution from the GJ Autopilot AIGC Agent business, which features a higher degree of automation, resulting in relatively lower costs and higher margins, as evidenced by the recent project performance.

Other major cost assumptions include (i) selling and marketing expenses, it is expected to increase in FY2026 which is consistent with the revenue growth and expansion of new business lines; (ii) administrative and other operating costs, it is expected to increase slightly due to the expansion of business; and (iii) research and development expenses, it is expected to increase in FY2026 due to higher cloud service fees and staff costs associated with continued investment in AI algorithms, computing power and product enhancement in order to maintain the reliability and technological integrity of its solutions.

Cash Conversion Cycle (CCC)

The Company's CCC increased to around 70.1 days in FY2025 and is expected to continue to increase in FY2026. This movement primarily reflects the result of the expansion of Autopilot AIGC Agent projects and an increase in signed agreements with major enterprise customers. The projected increase in CCC for FY2026 reflects milestone-based billing schedule and longer collection cycles, is common for sizeable enterprise customers, such as Customer A, rather than deterioration in collection efficiency or customer credit quality. Most of the outstanding trade receivables are from reputable state-owned and institutional customers under the signed agreements. The Company continues to implement systematic receivable management under its Sales Revenue Management Policy, which includes periodic aging reviews, phased collection targets, and approval requirements for any extension of credit period. With strong operating cash flow generation, unutilized banking facilities of RMB 160.0 million and expected IPO proceeds of approximately HK\$1,321 million, the Company expects to be able to maintain sufficient liquidity to support the longer cash conversion period during this stage.

Cash Burn

A comprehensive cash burn analysis, incorporating the audited financial information for the year ended 31 December 2025, will be prepared and submitted together with the reply of the FCL.

Question 1 (iv) – Memorandum – update the Memorandum based on the latest market data

and include a comparison with the same period in 2024 and the forecast for the remaining months of 2025; and justify the forecast revenue growth in 2025 and 2026 with quantitative information (such as the amount and percentage of forecast revenue which is supported by signed contracts/backlog);

The Company will submit the updated Memorandum when submitting the update financial information and the reply of FCL.

Question 1 (iii) – Working capital – justify, with support of quantitative and qualitative analyses, how the Directors and the Sponsors are satisfied that the Group is able to meet the working capital requirements for at least the next 12 months from the date of the Prospectus under Rule 8.21A;

The following submission demonstrates that the Company possesses sufficient liquidity and working capital to meet its operational and financial obligations for the next 12 months from the date of publication of prospectus, which is June 2026 based on the current proposed timetable. In addition to the expectation that the Company will record adjusted profits in FY2026, the Company has secured sufficient unutilized banking facilities to meet its financial needs, which provide a solid financial and liquidity foundation to support its operations.

Operating Cash Flow

Although the Company recorded net operating cash outflows during the track record period, operating cash flows are forecasted to improve in FY2026 due to (i) the revenue growth from GJ AI workforce solutions, including contributions from the GJ Autopilot AIGC Agent; and (ii) relatively stable gross profit margins during FY2025 and FY2026.

Financial Resources

In addition to internally generated cash flow, the Company's financial resources include (i) existing cash and cash equivalents; (ii) the ability to utilize banking facilities if required: the Company has obtained unutilized banking facilities in the amount of RMB160 million as of January 31, 2026; and (iii) estimated net proceeds of approximately HK\$1,321 million from the Global Offering, expected to be received in or around June 2026.

Historical Net Operating Cash Outflows and Losses

During the Track Record Period, the Company recorded net operating cash outflows and net losses, which were primarily attributable to (i) significant upfront investments in R&D development, including cloud service fees and computing power; (ii) expansion of personnel and infrastructure to support future growth; and (iii) non-recurring items, including listing expenses and accretion of redemption liabilities; the latter of which ceased following the termination of redemption obligations in November 2024. The Directors consider that these losses and cash outflows were invest-driven and non-recurring in nature, and do not reflect a structural inability of the Group to generate operating cash flows.

Having taken into account the Working Capital Forecast, the result of sensitivity analysis, the Company's historical financial performance, existing cash resources, available banking facilities and the estimated net proceeds from the Global Offering, the Directors confirm, and the Joint Sponsors concur that the Company has sufficient working capital to meet its present requirements for at least the next 12 months from the date of the prospectus.

Question 1 (iii) – Working capital – details of the Group's working capital management during the Track Record Period and going forward, in particular, how to ensure its working capital sufficiency going forward, taking into account its net operating cash outflow and net

losses during the Track Record Period;

During the track record period, the Company managed its working capital through:

- (i) monitoring cash balances and short-term liquidity. The Company adopted the *Funds Management Policy* (資金管理辦法), which sets the procedures for fund planning, execution analysis, and workflow;
- (ii) active management of trade receivables and contract assets. The Company established the *Sales Revenue Management System* (銷售收入管理制度), which explicitly outlines processes for accounts receivable reconciliation, collection, and receivables impairment;
- (iii) maintaining trade payable settlement terms broadly in line with historical practice. The Company implemented the *Procurement Management Policy* (採購管理制度), which establishes a framework of requirements for acceptance and settlement under procurement contracts or framework agreements; and
- (iv) prioritizing expenditures to support core business operations.

The Company did not experience material liquidity stress or defaults in payment during the Track Record Period.

The Directors are of the view that these measures are adequate to manage the Group's working capital requirements in light of its business scale and forecast operating profile.

Question 1 (v) – Overall – disclose additional operating data and financial data, including but not limited to net dollar retention rate, average revenue per customer, the movement of backlog value and number of projects, and revenue, gross profit margin, average project value by type of solution (e.g. GJ AI Real-time Voice Agent, GJ AI Video Generation Agent, GJ AI Live Streaming Agent, GJ AI Real-time Video Agent), with a commentary on any material fluctuations;

The Prospectus will be revised in response to the comments.

Question 1 (v) – Overall – highlight the difference between “total contract value” and “total revenue”, and explain why the number of customers is larger than the number of projects throughout the Track Record Period; and move upfront the risks associated with the Group's net losses and net operating cash outflows in the “Summary” and “Risk Factors” sections (i.e. pages 10 and 44).

The Company respectfully submits that:

- (i) total contract value represents the aggregate amount of contracts with its customers, including both framework agreements and purchase orders, while its total revenue represents the amount of income recognized as revenue in accordance with its revenue recognition policies; and
- (ii) the number of the Company's customers was substantially larger than the number of its projects in each year during the Track Record Period. This discrepancy stems from its dual customer base: while some enterprise customers purchase project-based solutions, the Company also serves customers (typically SMBs) who procure productized GJ AI workforce solutions with highly standardized configurations and flexible platform architecture.

The Prospectus will be revised in response to the comments.

Question 2 — Relationship with Customer A — Considering the growth in revenue contribution from Customer A (i.e. China Mobile Communications Group Co., Ltd.) during the Track Record Period from 17% in 2022 to 64% in 2024 and 64% in six months ended 30 June 2025, please

address the following (pages 184 and 185):

Question 2 (i) – discuss the underlying driver(s) of the increase in revenue contribution from Customer A during the Track Record Period, and advise the forecast revenue contribution from Customer A in 2025 and 2026; and disclose, with support of the Industry Consultant’s view, whether it is an industry norm for digital human agent providers in the PRC to have high customer concentration; and elaborate on the Group’s measures in diversifying its customer base given the decrease in its number of customers during the Track Record Period (page 185);

The Company respectfully submits that the revenue contribution of Customer A increased from 2023 to 2024, mainly caused by (i) the Company’s long-term and deepened partnership with Customer A, where its technical expertise and customized services have fostered Customer A’s deep trust, driving Customer A to leverage the Company’s solutions across various projects to better serve its own customers. The expansion of Customer A’s customer base and overall business scale has correspondingly increased its procurement volume from the Company; and (ii) the Company’s strategic resource concentration on selected industry leaders during its initial exploration in serving telecom operators. This allowed the Company to efficiently accumulate industry-specific project design and implementation expertise and utilize the flagship effect brought by the top-tier telecom operator. According to CIC, it is an industry norm for digital human agent providers in China to forge close relationships with large-scale enterprises with a leading position in their respective industries. Therefore, it is an industry norm for digital human agent providers in the PRC to have a relatively high customer concentration, according to the same source.

Apart from the measures disclosed in the Application Proof (i.e., cultivating and maintaining mutually beneficial relationship with Customer A, and diversifying offerings and expanding customer base), the Company also expects to mitigate the risks arising from revenue concentration on Customer A through developing ecosystem partnerships. In particular, the Company expects to further develop its ecosystem partnerships by establishing and deepening collaborations with service providers, cloud platforms and large-scale integrators along the industry chain. Through this ecosystem partnership, the Company aims to strengthen its service capacity and directly engage customers across more industry verticals, which enables the Company to reduce reliance on any single customer, expanding market coverage and enhancing business resilience in the long term.

Notably, the revenue contribution from Customer A decreased from 64.4% for the year ended December 31, 2024 to less than 43% for the year ended December 31, 2025, which is expected to further decrease for the year ending December 31, 2026. In the long term, as the Company’s market reputation solidifies among a broader customer base, the proportion of revenue contributed by Customer A is expected to further decline.

Question 2 (ii) – further elaborate on the “mutually beneficial” relationship between the Group and Customer A given the significant difference in business scale of the Group and Company A and that the business relationship only started in 2022 (in particular, explain how Customer A integrates the Group’s solutions into its own solutions, and subsequently sells the final solutions to its customers, duration of the agreements with Customer A, whether the Group is the only supplier for Customer A in providing the real-time video agent solution and justify the “high switching costs” considering the project-based nature of the Group’s solutions);

The Company has established a mutually beneficial relationship with Customer A based on the following grounds:

- ***Mutually Beneficial Choice in Response to the Global AI Market Growth.*** The rapid growth of the global AI industry and the strong market demand for AI solutions have created a strategic opportunity for Customer A to accelerate its digital and intelligent transformation. Consequently, the Company's partnership with Customer A aligns with its long-term development strategy, representing a mutually beneficial choice under these prevailing macro trends.
- ***Customer A's Deep Integration of GJ AI Workforce Solutions.*** The Company is uniquely positioned to address Customer A's need for advanced digital human agent technology with comprehensive offerings and customized services. Customer A integrates the Company's digital human agents into its comprehensive solution packages for its customers across industries, such as finance and public affairs, either as an embedded module or via an application programming interface. Serving as an embedded or interfaced core component within Customer A's integrated solution packages, the Company's digital human agents are provided to end users without separate fees. Digital human agents function as standardized modules dedicated to enhancing interactive experience and automation capabilities, with their value inherently encompassed within the holistic pricing of Customer A's overarching solution to its end users. The deep integration of the Company's offerings into Customer A's business allows the Company to consistently deliver value while simultaneously driving Customer A's business development, enhancing its customer satisfaction and operational efficiency.
- ***Customized Services Addressing Customer A's Scenario-specific Demands.*** Building on a deep understanding of Customer A's demands in the application scenarios of digital human agents, the Company provides comprehensive and customized services, covering technology adaptation, process integration and continuous iteration. This facilitates Customer A to rapidly integrate the Company's AI capabilities into its own business systems. While significantly enhancing operational efficiency and customer experience for Customer A, the collaboration also establishes a benchmark industry case among telecom operators, creating a mutually beneficial partnership.
- ***Stable Collaboration Relationship.*** The Company typically enters into long-term framework agreements with Customer A for a term of 2 to 3 years. Under these framework agreements, the Company generally executes contracts with Customer A on a project-by-project basis.
- ***High Switching Costs for Customer A to Choose Comparable Service Providers.*** The Company's long-standing, stable partnership with Customer A provides a foundation of trust for continued collaboration and high switching costs. The Company believes that costs for Customer A to switch away from its solutions to be relatively high, considering that: (i) the Company's solutions are deeply integrated into Customer A's business processes and data systems, leading to a gradual technical interdependence and considerable migration complexities over time; (ii) through collaborative projects, the Company has jointly developed proprietary models and scenario-specific optimizations, resulting in highly reusable industry-specific solutions; and (iii) changing suppliers would disrupt the continuity of Customer A's services to its end users, leading to disruptions to its customer experience and operational data.
- ***The Company's Position As One of Customer A's Essential Digital Human Agent Solution Providers.*** Although the Company is not the exclusive supplier of digital human agent solutions for Customer A, Customer A's purchase amount from the Company represents over 40% of its total purchases for such solutions in Jiangsu province, according to CIC. The Company foresees no material obstacles to its relationship with Customer A and is leveraging this proven model to strengthen relationships across its customer base.

Question 2 (iii) – prominently highlight the Directors' view (with basis) on whether the

relationship between the Group and Customer A is likely to materially adversely change or terminate in the foreseeable future; and move upfront the risk factor on customer concentration on page 48.

Considering (i) the above mentioned stable and mutually beneficial relationship between Customer A and the Company; (ii) the Company's reliable and customized solutions for Customer A to serve its own customers under industry-specific scenarios; and (iii) the relatively high switching costs for Customer A as the Company's solutions have been deeply integrated into Customer A's business processes and data systems, leading to a gradual technical interdependence and considerable migration complexities, the Directors are of the view that the Company's relationship with Customer A is less likely to materially adversely change or terminate in the foreseeable future.